

Florida Grocery Market Entry Study

Where a Northeast-based regional grocer should open its first Florida store, and what it would take to support it: market screening, site selection, format, capital, and a phased entry plan.

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Independent analysis

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7	8	4.60	\$227–327M
Florida markets screened	weighted criteria	top weighted score, out of 5	full initial program, including distribution

An independent study prepared by the author. It was not commissioned, reviewed, or adopted by any company. The retailer and exact site identifiers are withheld; figures reflect April 2026 conditions and have not been updated.

EXECUTIVE SUMMARY

Enter through the inland Tampa Bay growth corridor, and build the distribution platform for a cluster, not a store

RECOMMENDATION

Open the first Florida store, a 100,000 to 120,000 square-foot destination format, in the inland Tampa Bay growth corridor. Pair it with a central Florida distribution center on the I-4 corridor sized to serve a cluster of four to six stores.

4.60	345K–380K	\$227–327M	36–48
weighted score, first of seven markets (next: 4.25)	residents within a 15-minute drive of the lead site (study estimate)	full initial program; the distribution center is 69% to 77% of it	months to opening in the realistic scenario (24–30 accelerated)

Key findings

- **The Tampa Bay corridor leads on breadth, not one strength.** It is the only market rated 5 on four criteria: population growth, relocated-resident demand, competitive gap, and supply-chain access. The Jacksonville suburban market is a strong second at 4.25, with higher incomes but a weaker distribution position.
- **The customer profile fits a destination format.** The focal submarket shows a \$107,504 median household income, 48% bachelor's attainment, a median age of 37.1, and 42% of households with children, growing about 6.1% a year.
- **There is a format gap, not an absence of competition.** The corridor has 17 conventional supermarkets, none larger than 61,000 square feet, and two natural-foods stores. A planned 35,518 square-foot premium store is the nearest new entrant.
- **Distribution is the binding constraint.** A Florida distribution center (\$175M to \$225M) is most of the capital. Shared across four stores it adds \$43.75M to \$56.25M per store; across six, \$29.17M to \$37.50M. The investment only makes sense as a multi-store platform.
- **Sequence the commitment.** Secure a site position and plan the distribution center in parallel, open in 2029 to 2030, then extend to the Jacksonville suburban market, Orlando, and the Sarasota area.

Before a capital decision

The study supports a location hypothesis and a capital-planning discussion. Converting it into an investment case requires a drive-time trade-area analysis, consumer demand research, site due diligence, and a store-level operating model with dated cash flows.

01 THE DECISION

A strong demand signal, a strong incumbent, and no supply chain within a day's drive

The question: where should a Northeast-based regional grocer, known for large destination stores, open its first Florida location, and what would that entry require?

Why Florida is attractive

- Florida gained **\$20.65 billion** in net adjusted gross income from interstate migration in 2023, with the average mover earning **\$122,530** (IRS migration data).
- The Tampa metro area ranked **third nationally** for net domestic migration, adding about **54,660** residents a year.
- The retailer's core Northeast states are consistently among the leading origin states for Tampa Bay in-migrants, which gives a new store a base of shoppers who already know the brand.

Why it is hard

- **Incumbent strength.** One conventional chain holds roughly **40%** of Tampa Bay grocery share and operates 17 stores in the target corridor.
- **Distance.** The retailer's nearest distribution center is about **13 to 14 hours** by truck from Tampa. Fresh and perishable supply at its service standard needs a Florida facility.
- **Weather and cost.** Coastal markets carry hurricane, flood, and insurance exposure that changes both construction cost and operating cost.

The five questions the study answers

QUESTION	APPROACH	WHERE
Which market first?	Score seven Florida markets on eight weighted criteria, 1 to 5 each	Sections 02 and 03
Which site?	Screen candidate parcels on zoning, acreage, access, flood exposure, and competitive spacing	Section 04
What format?	Compare the proposed store with the formats already operating or planned in the corridor	Section 05
What capital?	Separate land, store, distribution, and pre-opening costs; allocate distribution across a cluster	Section 06
In what order?	Phase site, distribution, construction, and hiring against accelerated and realistic schedules	Sections 07 and 08

Scope: market and site screening, format positioning, capital framework, and phasing. Store-level profit and loss, discounted cash flow, and lease-versus-own analysis are outside this study and listed as next steps.

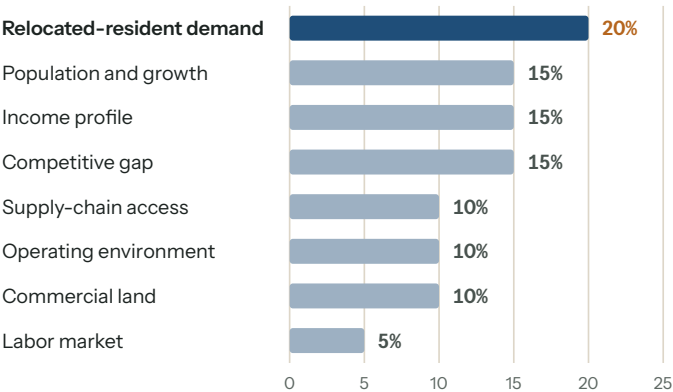
02 SCREENING METHOD

Eight criteria, weighted toward the drivers of a first store's opening-day sales

Each market was rated from 1 to 5 on eight criteria. The weighted score is the sum of each rating multiplied by its weight. It is a structured decision aid that makes trade-offs explicit and testable, not a forecast of returns.

CRITERION	WEIGHT	WHAT IT MEASURES
Relocated-resident demand	20%	Residents who moved from the retailer's home region and already know the brand; the strongest predictor of opening-day sales.
Population and growth	15%	Absolute market size and five-year population growth trajectory.
Income profile	15%	Median household income, share of high-income households, and educational attainment.
Competitive gap	15%	Absence of premium and destination-scale grocery formats in the trade area.
Supply-chain access	10%	Proximity to the I-4 distribution corridor, port cold storage, and viable distribution-center sites.
Operating environment	10%	Hurricane and flood exposure, insurance cost, property taxes, and permitting speed.
Commercial land	10%	Availability and cost of 15 to 20 acre parcels with retail-compatible zoning.
Labor market	5%	Workforce depth, wage environment, and fit with a high-service operating model.

Weight by criterion



RATING SCALE

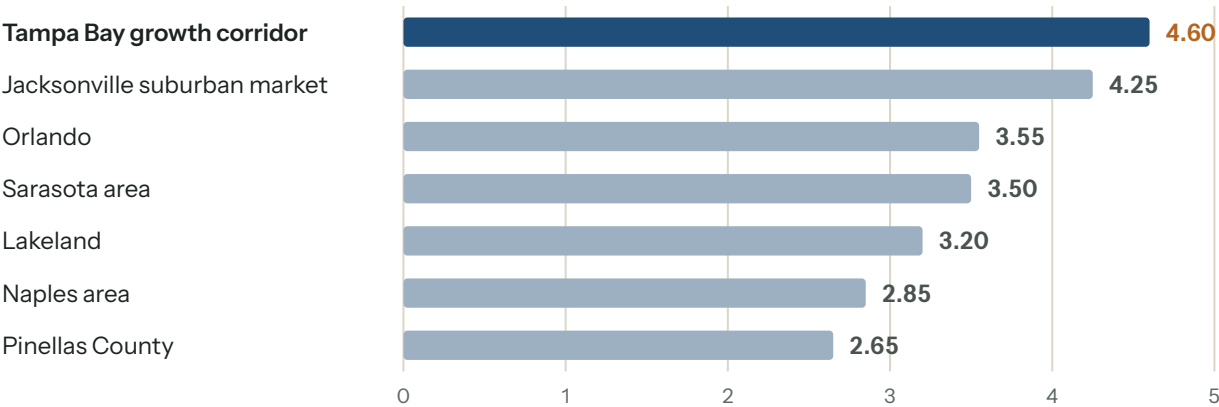
5	Above the 75th percentile of the retailer's existing successful trade areas (for income: median household income above \$100K, bachelor's attainment above 45%)
4	Within range of the median existing trade area
3	Meets the minimum viability threshold
1-2	Below threshold, or a structural barrier

Relocated-resident demand carries the most weight because the retailer's past expansions show familiar-brand demand from relocated customers to be the most reliable early-sales signal. Section 03 shows the ranking is not driven by that weight alone.

03 MARKET RANKING

The Tampa Bay growth corridor ranks first at 4.60; the Jacksonville suburbs are second

Weighted score out of 5, seven Florida markets



Ratings by criterion (1 to 5) and weighted total

	Relocated 20%	Growth 15%	Income 15%	Comp. gap 15%	Logistics 10%	Operating 10%	Land 10%	Labor 5%	Weighted total
Tampa Bay growth corridor	5	5	4	5	5	4	4	4	4.60
Jacksonville suburban market	5	4	5	4	3	4	4	4	4.25
Orlando	3	4	4	3	4	4	3	4	3.55
Sarasota area	4	3	5	3	3	3	3	3	3.50
Lakeland	2	4	2	3	5	4	4	3	3.20
Naples area	3	2	5	3	2	2	2	3	2.85
Pinellas County	3	2	3	3	4	2	1	3	2.65

1

2

3

4

5

What separates the top two

Both markets rate 5 on relocated-resident demand. The Jacksonville suburbs have the stronger income profile, but they sit outside the reach of a central Florida distribution hub and would need separate routing. The Tampa Bay corridor rates 5 on supply-chain access, competitive gap, and growth, which together outweigh its one-point income gap.

How robust is the order?

The lead is 0.35 points. Dropping any one of the eight criteria and re-weighting the rest, or weighting all eight equally (4.50 against 4.12), still leaves the Tampa Bay corridor first and the Jacksonville suburbs second. The bottom three each carry a structural weakness in income, flood exposure, or land.

Totals are recalculated from the stated weights. This corrects arithmetic in the original April 2026 scorecard for three markets (Orlando 3.55, Lakeland 3.20, Naples area 2.85; originally 3.60, 3.15 and 2.95). The rank order is unchanged.

03 MARKET RANKING, CONTINUED

Why the Tampa Bay corridor leads, and why the others fall short

\$107,504 median household income in the focal submarket	48% adults with a bachelor's degree or higher	37.1 median age; 42% of households have children	6.1% annual population growth in the submarket
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Demand that is already arriving

The corridor's county led Florida with 6,938 residential building permits in 2025, up 105% year over year. Master-planned communities nearby are adding thousands of homes within five miles of the lead site.

A large, underserved trade area

The study estimates 345,000 to 380,000 residents within a 15-minute drive, about 55,000 to 65,000 of them in households earning \$100,000 or more, with no destination-scale grocer.

The logistics hub is next door

The I-4 corridor between Tampa and Orlando holds more than 550 million square feet of distribution space, port cold storage, and intermodal rail. A Lakeland-area distribution center could serve Tampa, Orlando, the Sarasota area, and later Jacksonville.

Lower operating risk inland

The corridor sits about 30 miles inland from the Gulf. Most of the development area lies in FEMA Zone X, outside the mandatory flood-insurance area, and the county's effective property tax rate (0.75%) is among the lowest in the region.

Why the other markets rank lower

MARKET	SCORE	DECIDING FACTOR
Jacksonville suburban market	4.25	Highest incomes evaluated (\$141,868 median in the focal submarket) and a near-ideal customer profile, but a smaller market, master-developer control of land, and distance from the Tampa logistics hub. Best as store two.
Orlando	3.55	Large market, but tourism-weighted economics and more premium and natural-foods competition already in place.
Sarasota area	3.50	High wealth (\$122,925 median homeowner income in the growth submarket) but a median age of 53.5, smaller households, and coastal insurance exposure. Better as store three or four.
Lakeland	3.20	Excellent distribution location on I-4, weak store demographics (\$64,185 median household income). A distribution hub, not a store site.
Naples area	2.85	Very high incomes but a small, older market, the highest flood-insurance costs in the state, and established premium competitors.
Pinellas County	2.65	Essentially no large commercial parcels available, high flood exposure, and population growth below 1% a year.

Demographic inputs come from the study's public sources and mix metropolitan, county, city, and submarket boundaries and reference years. They describe conditions as gathered in April 2026.

04 SITE SCREENING

A 25.69-acre parcel in the corridor leads five alternatives

Within the recommended market, candidate sites were screened on retail-compatible zoning, usable acreage (15 to 20 acres or more for a store, parking, and stormwater), interstate access, flood exposure, land cost, and distance from the nearest planned premium competitor.

LEAD SITE: CANDIDATE A

Parcel	25.69 acres, planned-development zoning that permits commercial retail
Estimated land cost	\$7M to \$12M
Access	About 1.5 miles from an interstate interchange; arterial road widening and signals recently completed. The corridor arterial carries 63,000+ vehicles a day, projected to reach 98,000 by 2045.
Risk profile	FEMA Zone X (no mandatory flood insurance) per the study's flood-risk source; about 30 miles inland
Competitive spacing	About 7 miles from the nearest planned premium grocery store
Status, April 2026	Under contract to another buyer, with the listing side open to backup offers. The county had repeatedly pushed for job-creating commercial use on the site, which favors a large grocery anchor with 400 to 500 jobs.

Alternatives considered

CANDIDATE	LAND ESTIMATE	STRENGTH	WHY IT RANKED LOWER
B. Second Tampa Bay growth corridor	\$9M–\$11M, 20 acres	Fastest-growing residential pipeline; confirmed retail demand	Higher land prices, closer to the planned premium store, interchange congestion
C. Jacksonville suburban market	\$4M–\$12M, 15–20 acres	Highest income and education profile evaluated	Separate distribution routing; land released by a master developer
D. Established Tampa Bay retail corridor	\$10M–\$15M	Highest educational attainment in the study area (61%)	Built out; 15 to 20 acres would need parcel assembly; nearer competition
E. Sarasota area growth market	\$8M–\$18M, 15–20 acres	Wealth concentration and strong growth	Older households, smaller market, coastal insurance exposure
F. Lower-cost corridor parcel	\$3.6M, 34.56 acres	Lowest land cost (about \$104,000 per acre)	Screened out: industrial zoning, a high-risk flood zone, and likely wetlands. Better suited to a future distribution use.

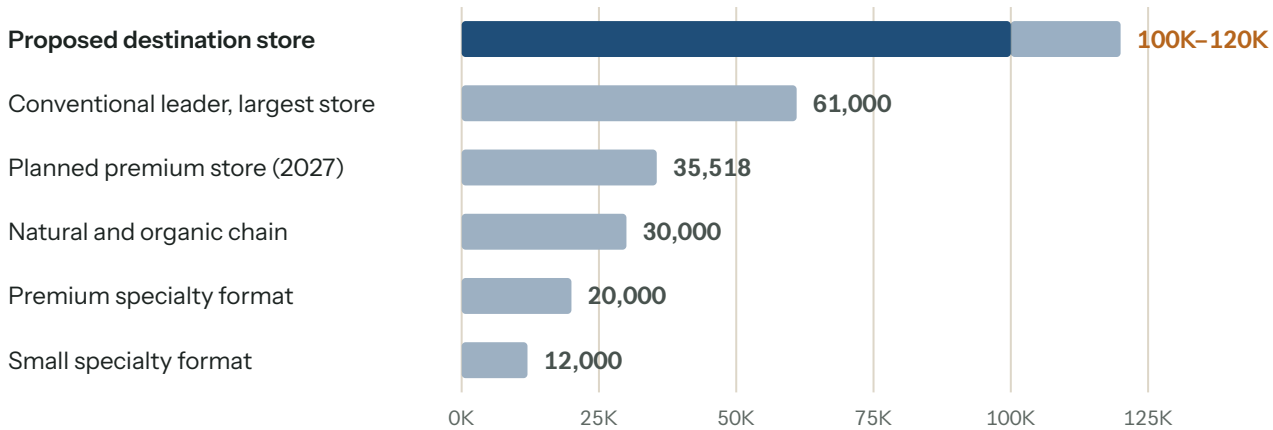
Land figures are April 2026 study estimates from listings and comparable sales, not appraisals. Candidate F shows why the cheapest parcel is rarely the cheapest site: rezoning, elevated construction, and wetland mitigation would erase the price advantage.

05 STORE AND FORMAT CONCEPT

A destination format nearly twice the size of anything in the corridor

The proposed store competes on scale and experience rather than proximity. The incumbent wins the weekday quick trip; the new store is built for the weekly stock-up and the weekend visit, which is why a 15-minute trade area, not a neighborhood, is the right unit of analysis.

Typical or maximum store size in the trade area, square feet



Counts in the study corridor, April 2026: conventional leader 17 stores; natural and organic chain 2; premium store 1 planned for Q2 2027; premium and small specialty formats none in the county.

The concept

- **100,000 to 120,000 square feet**, ground-up development
- Full-service prepared foods with in-store dining
- Scratch bakery and specialty cheese and deli departments
- A deep own-brand range from value to premium tiers
- Extended hours, past the 10 to 11 p.m. local norm
- **400 to 500 jobs**, leadership hired a year before opening

The economics it implies

Mature-store revenue in the study's scenario is **\$70M to \$100M a year**, roughly three times the incumbent's estimated \$30M per store. That volume is what justifies the format's size and labor model.

Price is part of the entry story: one published consumer basket comparison placed the retailer about 17% below the local leader. The study treats this as a hypothesis to test with dated, like-for-like basket pricing, not as a planning assumption.

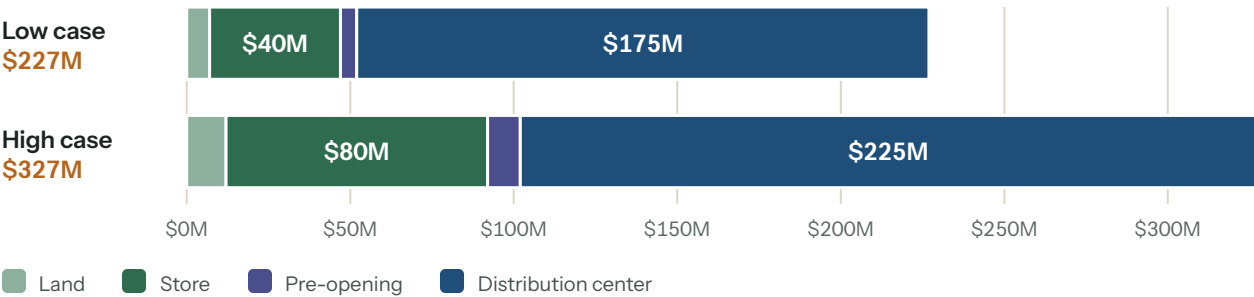
06 CAPITAL FRAMEWORK

A \$227M to \$327M program, and most of it is distribution

COMPONENT	LOW	HIGH	SHARE
Land acquisition	\$7M	\$12M	3–4%
Store construction and fit-out	\$40M	\$80M	18–24%
Distribution center	\$175M	\$225M	69–77%
Pre-opening hiring, training, launch	\$5M	\$10M	2–3%
Full initial program	\$227M	\$327M	100%

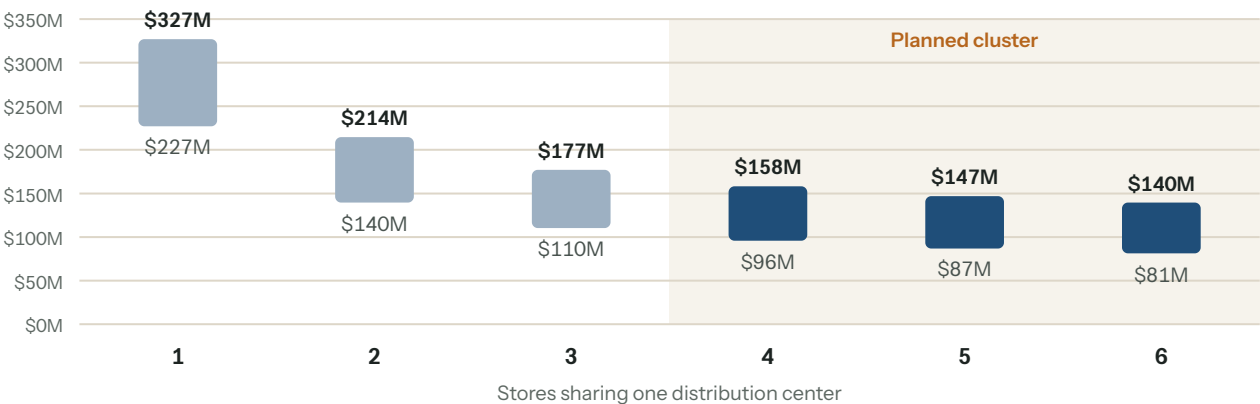
The store itself, with land and pre-opening, is **\$52M to \$102M**. The distribution center, a 1.0 to 1.1 million square-foot facility benchmarked to a comparable recent regional build, is the rest. Store cost is benchmarked to a recent comparable store permit plus fit-out.

Program cost by component, low and high cases



Allocating distribution across a cluster

Investment per store: store-side cost plus an equal share of the distribution center



Allocated investment per store = land + store + pre-opening + distribution center ÷ stores served. At four stores the distribution share is **\$43.75M to \$56.25M** per store; at six, **\$29.17M to \$37.50M**.

One store carrying the whole facility is not viable, which is why the plan commits to a four-to-six-store cluster from the start.

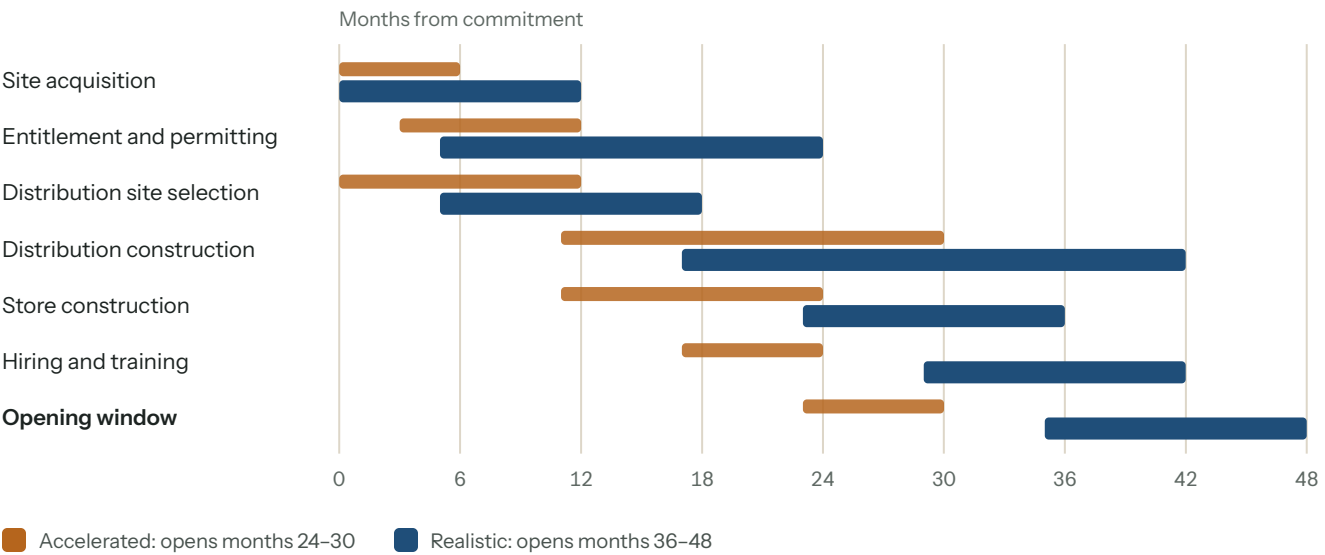
Allocation is a comparison tool; it does not reduce the cash needed up front. The study's 5 to 7 year store-level payback is a planning assumption that still needs an operating cash-flow model.

07 PHASED ENTRY PLAN

Secure the site and plan distribution in parallel; open in 2029 to 2030

Q2 2026 – Q2 2027 1. Secure the site Establish a backup position or letter of intent. Environmental, title, and geotechnical review. Engage county economic development; begin site planning and transportation access coordination.	Q3 2026 – Q4 2027 2. Plan distribution Evaluate Lakeland and Plant City sites on I-4 for a 1.0 to 1.1 million square-foot facility on 100+ acres. Pursue state and local incentives. Begin engineering.	2028 – 2029 3. Build in parallel Distribution center construction (12 to 18 months) alongside the store (about 12 months). Leadership hired 12 months out, full team 6 months out. Local produce and seafood sourcing.	2029 – 2030 4. Open Open the flagship. Until the Florida facility is live, an existing distribution center can bridge non-perishables, with local third-party distributors as backup.	YEAR 5 + 5. Build the cluster Store two in the Jacksonville suburbs or Orlando; store three in the Sarasota area; grow to the four to six stores that carry the distribution investment.
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Workstream schedule, accelerated and realistic scenarios



What drives the critical path

Distribution construction, not the store, sets the opening date. The realistic scenario runs 18 to 42 months for the facility against 24 to 36 months for the store, so site selection for distribution has to begin within the first six months.

What would accelerate it

An available parcel with existing entitlements, expedited county permitting for economic development projects, and parallel rather than sequential construction. Each is a condition to confirm, not to assume.

08 KEY RISKS AND MITIGATIONS

One high risk, and it is the same one that shapes the capital plan

Severity reflects the study's April 2026 assessment. The final column lists what would need to be confirmed before each mitigation can be relied on.

RISK	SEVERITY	MITIGATION	TO VALIDATE
Distribution constraint	HIGH	A Florida distribution center sized for a four-to-six-store cluster; interim non-perishable supply from the existing network and local third-party distributors.	Facility site and cost, transport economics, lead times, food-safety requirements
Incumbent competitive response	MEDIUM	Compete on format, prepared foods, and price rather than convenience; the incumbent's largest store is about half the proposed size.	Consumer demand survey, like-for-like basket pricing, the incumbent's new prototype
Market-entry timing	MEDIUM	Establish the site position early. A premium competitor (Q2 2027) and a new conventional prototype (Q3 2027) narrow the first-mover window.	Competitor schedules; sensitivity of sales to a later opening
Competing development interest	MEDIUM	Hold a backup position; the county's stated preference for job-creating commercial use favors a large grocery anchor.	Contract status, title, and the outcome of pending land-use filings
Site acquisition and assembly	LOW-MED	Lead site is a single parcel with retail-compatible zoning; an adjacent parcel adds expansion optionality.	Developable acreage after stormwater and environmental review
Operating costs	MEDIUM	Inland location lowers insurance; low county property tax and no state income tax help offset utilities and insurance.	A full operating budget with local insurance quotes
Hurricane and flood	LOW	Inland site in FEMA Zone X; build to current Florida code.	Parcel-level flood determination, wind and interruption coverage
Labor market	LOW-MED	Draw on a Tampa metro labor force of about 1.69 million; competitive pay and a long training runway.	Local wage benchmarks and a recruiting plan for 400 to 500 roles

READING THE RISK PROFILE

Most risks are site- and timing-specific and can be reduced with due diligence. The distribution constraint is structural: it is why the decision is really about a Florida platform rather than a single store, and why the plan pairs the first store with a commitment to a multi-store cluster.

09 ASSUMPTIONS, LIMITS, AND SOURCES

What this study does and does not establish

Assumptions and limits

- **Point in time.** All figures reflect April 2026. Site availability, competitor openings, costs, and demographics have not been refreshed.
- **Ratings are judgments.** Market ratings apply a 1 to 5 rubric to public data; the weights reflect assumed priorities and should be stress-tested.
- **Mixed geographies.** Demographic inputs mix metro, county, city, and submarket boundaries and reference years. The 15-minute trade area is an estimate, not a drive-time GIS analysis.
- **Planning ranges, not bids.** Land, construction, and distribution costs are benchmarks from public sources. Revenue and payback are scenario assumptions, not outputs of an operating model.
- **Arithmetic.** Three weighted totals were recalculated from the stated weights (Section 03); the ranking did not change.

Next steps to an investment case

- Drive-time trade area with overlap checks
- Consumer demand and price-perception research
- Site due diligence: contract, zoning, environmental, access, insurance
- Store P&L, distribution operating model, and discounted cash flow with downside cases

Sources

Public sources used in the April 2026 study, by category. Retailer-specific materials and exact site listings are withheld.

Population and migration	U.S. Census Bureau population estimates; IRS Statistics of Income migration data (via Realtor.com and the National Taxpayers Union Foundation); Tampa Bay Economic Development Council market overviews; USF Muma College of Business, State of the Region
Demographics	Florida Demographics; USAFacts; Data USA; Niche; World Population Review; Neilsberg; county economic overviews
Site, traffic, and risk	Florida Department of Transportation corridor studies; commercial property listings and recorded land sales; AuguRisk flood-risk data; SmartAsset property-tax data; Plan Hillsborough
Logistics	Port Tampa Bay refrigerated cargo capabilities; CBRE research on the I-4 corridor industrial market; Tampa Bay EDC distribution and logistics profile
Competition	Axios Tampa Bay; Shopping Center Business; Grocery Dive; Supermarket News; Tampa Bay Times; Tampa Bay Business & Wealth; Statista; a published consumer basket price comparison
Capital and revenue	Regional business-journal coverage of construction permits; trade coverage of distribution-center builds; industry business profiles and store-revenue research

About this study

Research, analysis, modeling, and writing by Bryan Wudarsky, completed in April 2026 as an independent study. No company commissioned, reviewed, or acted on it.